Ramkrishna Forgings Ltd

Concall tracker report, filed under Q2-2027 | Prepared 11 Nov 2026 | NSE: RKFORGE

1. Snapshot

Ramkrishna Forgings, from Kolkata, makes forged and cast metal parts: axles, crankshafts, gears and similar heavy parts mainly for trucks, plus parts for cars, tractors, railways and oil and gas. It sells in India and exports to North America and Europe, and has a joint venture with Titagarh to make railway wheels.

Number	Value	Plain read
Market cap	about ₹13,800 cr	A mid-size company, trading near its 52-week high.
FY26 sales (standalone)	₹3,755 cr, up 3%	Two flat years (FY25-26) after strong growth before; US tariffs and an accounting clean-up hit.
FY26 profit (standalone)	₹87 cr	Down about four-fifths from FY25 (which had one-off gains); a weak year.
Operating margin	15% in FY26 vs 21-22% in FY23-24	Profit kept per ₹100 of sales dropped by about a third; now climbing back.
Borrowings (standalone, Sep 2026)	about ₹1,670 cr	Heavy debt from years of plant building; cutting it is this year's main promise.
P/E	about 72x trailing	Very expensive on last year's profit; the market is paying for the recovery ahead.

2. Concall coverage

Quarter	Call date	Transcript read?
Q4 FY25 to Q3 FY26 (4 calls)	May 2025 to Feb 2026	Skimmed for guidance and promises
Q4 FY26	May 2026	Read: FY27 guidance and wheel plans
Q1 FY27	Jul 2026	Read
Q2 FY27	30 Oct 2026	Deep-read in full

Seven recent calls over about two years were used, out of 20 transcripts on Screener. Older ones (before 2021) aren't on Screener and weren't needed for this period.

Latest concall highlights: Q2 FY27 (30 Oct 2026)

- Consolidated sales ₹1,405 cr, up 55% on a year ago and 15% on Q1. Operating margin 18.2%, up from 13.5%: plants are running fuller and more exports are going out.
- Profit before tax ₹95 cr versus a ₹10 cr loss a year ago. Debt cut by ₹126 cr in the half; the full-year ₹500 cr cut is kept.
- New orders of ₹673 cr over a four-year programme life, about half export. ₹447 cr is castings, including ₹272 cr for a North American light vehicle part: the first export order for its casting business.
- Railway wheel JV: first 300 wheels are under railway inspection; production of a few thousand wheels from December and higher in Q4. Target for the year is now 20,000-25,000 wheels.
- Tone: upbeat. "We see strong visibility and a very strong market in next 6 months." Capex raised to about ₹550 cr for the year, all for machining and value-add.

Business mix and capacity

Domestic/export split of sales: not given as a number this quarter; the order wins split about 48% domestic and 52% export, and management targets exports growing 20%+ (Jul 2026).

Utilization: casting plant at about 88%; press (forging) plant headed to about 80-85% by FY27 end; ring rolling over 100%; aluminium and cold forging lines just over 50%. Management says it has enough capacity for now.

3. Earning trigger thesis

The trigger is filling the plants the company spent years building. Most of the expansion is done, so more volume now drops to profit: margin has risen every quarter for a year, and management says it'll keep adding to it till it beats the old peak. Exports are back after the US tariff scare, castings just won their first export order, and the railway wheel JV should start contributing in the second half. The ₹500 cr debt cut, if delivered, lifts profit further through lower interest.

Trigger	What management said	Evidence so far	Time horizon	Strength
Fuller plants and better mix	Margin to rise each quarter, aim to cross previous peak	Margin up from about 13.5% to 18.2% in a year	FY27-FY28	Strong: in the numbers
Exports and castings	Exports up 20%+; casting export door now open	Strong US recovery this quarter; ₹272 cr North American casting order	Supplies start after 6-9 months of validation	Moderate
Railway wheel JV	80,000 wheel offtake; 40,000 wheels in FY27 (May 2026)	Still under inspection; FY27 target cut to 20,000-25,000	From Dec 2026	Weak so far: keeps slipping
Debt cut	₹500 cr cut in FY27	₹126 cr done in H1	By Mar 2027	Moderate: back-ended, while capex went up

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	"Debt during H1 FY27 is reduced by Rs. 126 crores, and we maintain our guidance of reduction in total debt by Rs. 500 crores for FY27" (30 Oct 2026)
New business	Yes	Castings export order for North American light vehicles "opens our door to the exports market from our casting business" (30 Oct 2026); railway wheels JV starting.
Margin up	Yes	"every quarter, I think you will see an expansion in margin" (30 Oct 2026)
New management	No	Same promoter team.
New capacity	Yes	Rail wheel plant: first production of 2,000-3,000 wheels expected in December 2026 (30 Oct 2026).
Big orders	Yes	New orders of ₹673 cr in Q2 with about four-year programme life (30 Oct 2026); 80,000-wheel railway offtake.
Turnaround	Yes	Profit before tax ₹95 cr versus a loss a year ago (30 Oct 2026), after the FY25-26 accounting clean-up.
Promoter buying	No	Not mentioned.

Single concrete driver: plants built over the last few years are filling up with export and casting orders, lifting margin every quarter, with railway wheels from the Titagarh JV to come on top.

3c. Margin bridge

Operating margin was about 13.5% a year ago and 18.2% now. It rose because the new plants are running fuller (fixed costs spread wider), the product mix moved toward exports and value-added parts, and power surcharges came down. Shipping costs are elevated and casting margins are lower, which hold it back. Management calls the climb steady and lasting, aiming for the old peak over time. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY25 (May 2025)	Accounting issue found in FY25 was "one-off"; restated numbers, forensic audit	Margins and profit stayed weak through FY26; the business has recovered since	Partly
Q1-Q2 FY26	Rail wheel JV to start by January 2026	Trials in January, then Q1 FY27, then Sep-Oct, now December 2026	Missed
Q2-Q3 FY26	Debt down ₹500-600 cr in FY26	₹350 cr cut by Q3 FY26; standalone borrowings still higher at March 2026 than a year earlier	Missed
Q4 FY26 (May 2026)	FY27: debt down ₹400-500 cr; growth up to 10-15%; 40,000 wheels	Debt goal raised to ₹500 cr and on course; H1 growth far above guidance; wheels cut to 20,000-25,000	Partly
Q1 FY27 (Jul 2026)	Capex about ₹350 cr; margin up each quarter	Capex raised to about ₹550 cr; margin did rise	Partly

Narrative drift: the core story (fill the new plants, export more, cut debt, add rail wheels) has stayed the same for two years. What slips is the timing. The wheel plant has been "next quarter" for about a year, the FY26 debt cut fell short, and this year's capex has crept up again while debt is meant to fall. The accounting problem in FY25 also dented trust. On the other side, sales and margins this year are running well ahead of what they said. Tone is confident, and they now refuse to guide beyond six months.

5. Bottom line

Durable earning trigger? YES

Margins have climbed through the past year as the new plants fill up, exports recovered strongly, and the order book now includes the first export castings order. This is visible in results, not just talk. The rail wheel JV is the upside that hasn't shown up yet.

Management consistent? MAYBE

The business is now beating its own guidance, which counts. But the wheel plant has slipped quarter after quarter, the FY26 debt cut was missed, capex keeps rising, and there was an accounting clean-up in FY25. Good operators, loose with timelines.

6. Checkpoints for next quarter

- Rail wheel JV starts regular production in December
- Operating margin rises again in Q3
- Debt keeps falling toward the full-year cut

Sources: Screener.in concall transcripts (Q4 FY25 to Q2 FY27) and financials. Figures in the latest highlights are consolidated as stated on the call; the snapshot table uses Screener's standalone figures. Not investment advice. Do your own due diligence.